BOARD OF THE CBA

MINUTES
(27.03.2018)

Refinancing Rate of March 27, 2018

The CBA Board Meeting of March 27, 2018 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkady Khachatryan.

The Board meeting opened with presentation of the Situation Report as of March 27, 2018. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was **0.5% deflation registered in February 2018, and the 12-month inflation rate amounted to 3.3% at the end of the month.** This month too, inflationary developments were largely due to change in prices in a major group – "Food products" in which structure the prices for fruits and vegetables have declined. Meanwhile, the rise in meat prices continued throughout the month. Based on the actual January-February results, the Board estimates that in March inflationary developments will follow the predicted scenario and the 12-month inflation will be around the expected quarterly forecast indicator.

Addressing the current economic situation, the Board stated that strong economic activity persisted in early 2018, mainly driven by high growths registered in the industry, construction and services sectors. Thus, according to actual statistical information, the **2017 economic growth was 7.5%** and in January-February, compared to the same period of the previous year, **Economic Activity Indicator has been 8.6%**. It was recorded that the domestic demand growth rates continued trending up, which was reflected in the considerable excess in the forecast indicators of private consumption and private investment. The growth of domestic demand was further driven by expansionary monetary policy implementation and relatively high growth in economy lending by the financial system (12-month growth in February: 17.6%).

The Board also discussed the external sector developments, which have been in line with the Central Bank forecasts. Thus, the world economy further saw growth stabilization trends. Particularly, the economic growth in the Eurozone slightly exceeded the expected indicator, amounting to 2.7%, while in the US and Russia the growth indicators ran somewhat below the estimated levels, making up 2.5% and 1.5%, respectively.

Inflationary developments continued to be observed in the global market of commodities, which are consistent with the Central Bank forecasts, whereas in the food product markets of the world a minor price increase on dairy products and wheat was observable amid a general decline in prices. Given the macroeconomic and inflation developments in their countries, the US Federal Reserve System and the European Central Bank continued to raise the policy rate, while the Central Bank of Russia further chose a path to easing of the monetary conditions. As a result of the discussion, the Board assessed that inflation trends will be maintained in international commodity markets in the upcoming months, and in such a situation minor inflationary effects from the external sector are likely.

The Board talked about the developments in the domestic financial market: it was stated that in February-March short-term interest rates have largely stabilized around the policy rate, which in part owed to the use of instruments by the Central Bank to absorb excess liquidity.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. For now, the Board's point of view is that the expansionary effect of monetary conditions will need to be eliminated gradually in the future as the developments unfold according to the predicted scenario. However, given inconsiderable inflationary effects expected from external and domestic economies in the upcoming period and taking into account that additional inflation expectations accumulated at the end of the previous year have significantly mitigated, the Board still preferred to leave the policy rate unchanged, creating favorable conditions for the sustained recovery of domestic demand. As a result, **the 12-month inflation rate will be within the confidence band in the forecast horizon; it will stabilize around the average target of 4% at the end of the horizon.** As for the possible tightening of monetary conditions, the Board expects to specify its timing and extent in the next quarter's Monetary Policy Program.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

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THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA
BOARD RESOLUTION

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1 Lombard facility rate offered by the Central Bank to be 7.5%.

2.2. Deposit facility rate offered by the Central Bank to be 4.5%.

3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

March 27, 2018

PRESS RELEASE
27.03.2018

At the March 27th of 2018 meeting, the Board of the Central Bank of Armenia (the CBA) decided to leave the refinancing rate unchanged, at the level of 6.0%.

There was 0.5% deflation in February of 2018, relative to 0.9% deflation registered in the same month of the previous year, with the 12-month inflation rate having amounted to 3.3% at the end of the month. The Board of the CBA considers that, in the light of expected external and internal economic developments, the inflation will be maintained within the lower part of the confidence band in the upcoming months, as was predicted.

The actual developments in the external sector at the start of the year have been in line with the CBA's forecasts, as the trends for improving global economic growth and persisting inflationary patterns in some commodity markets of the world continued. In view of such developments, the CBA Board keeps anticipating minor inflationary effects from the external sector, as external demand recovers.

The CBA Board notes that economic activity in the first quarter of 2018 has somewhat exceeded the expectations, driven by high growths reported in industry, construction and services sectors. Higher-than-anticipated growth rates were observed on the part of domestic demand, which continues to be promoted by expansionary monetary policy and high growth in lending to the economy by the financial system. At the same time, additional inflationary expectations observable since the beginning of the year have significantly mitigated while inflation expectations have generally stabilized.

Taking the abovementioned into account, the Board of the CBA finds it reasonable to keep monetary conditions at the current level. At the same time, the Board believes that, in light of predicted developments, a gradual offsetting of expansionary monetary conditions would be needed in the future to fulfil the inflation target. As a result, the 12-month inflation rate will somehow increase in the forecast horizon, floating within the confidence band and stabilizing around the target.

The risks to economic growth outlook and to the inflation deviating from its recovery path are primarily upside as further growth of aggregate demand and economy on the whole is more likely. Should there emerge any risks, the CBA would adjust the monetary policy directions accordingly, in fulfilment of the inflation target in the forecast horizon.

Detailed information that underlies the decision on setting of the interest rate will be available in Press Release (Minutes on Interest Rate), to be published by April 10, 2018.

Press Service of the Central Bank of Armenia